Diagram on a Napkin:

The Laffer Curve's Place in Optimal Taxation Theory History

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Introduction:

On the evening of September 13, 1974, economist Arthur Laffer, along with friend and journalist, Jude Wanniski, met with Dick Cheney and Donald Rumsfeld at the Hotel Washington outside the fences of the White House. Cheney and Rumsfeld, Assistant and Chief of Staff to the newly sworn-in President Gerald Ford, respectively, sought guidance concerning Ford's first actions towards fixing the economy. After the resignation of ex-president Richard Nixon, the American economy was in shambles—rapid inflation, high unemployment, and slow economic growth slowly strangled households in a phenomenon known as stagflation. Their proposed plan was to raise tax rates by five percent, thus accruing more tax revenue that could be injected into stagnant areas of the economy, spurring economic activity and reversing the effects of stagflation.

However, Laffer, a recent Ph.D. graduate from Stanford, was against this, and warned that a five percent increase in taxes would draw less than a five percent increase in tax revenue, perhaps yielding less overall tax revenue than before. He sketched a crude graph on his napkin, a hypothetical quadratic depicting tax revenue over an x-axis of tax rate. The interpretation was simple: at zero percent tax, the government collects no tax revenue from economic activity. Moreover, at 100 percent tax, the government also collects no tax revenue, as individuals do not have incentive to participate in economic activity if all the financial benefit goes to the government, and so they do not buy or sell. Thus, some percent tax in between will maximize government revenue; the optimal tax rate for any political economy lies somewhere between zero and 100 percent. Additionally, two or more distinct tax rates can yield the same level of tax revenue. Laffer thought the economy was already in a post-max place on the curve, and instead supported the lowering of tax rates. Even if this resulted in less tax revenue, it would inspire

more economic activity, revitalizing the economy. Though the shape of this curve and its defining function were unclear, the result of this meeting brought about the rise of supply-side economic policy across late 20th century political economies, trademarked in the US by the trickle-down policies of the Reagan administration.

In a 1978 article, Jude Wanniski would chronicle this meeting. He deemed the napkin graph as the Laffer curve, and placed it in the overarching context of economic history, harking it as an unstated rule of optimal taxation inadvertently followed by civilizations throughout world history.[1] Laffer himself relinquishes ownership of the idea, citing theorists that ranged from 14th century Muslim philosopher Ibn Kaldun to John Maynard Keynes who had tiptoed around the theory and its implications without laying claim to it.[2] Crucially, both Wanniski and Laffer recognize the importance of this curve through human economic history.

This essay investigates the history of Optimal Taxation Theory through the lens of the Laffer curve. By tracking its development throughout economic history, its beginnings in pre-economic civilization under monarchies and theocracies and its silent role in the evolution of political economy, tracing its progressive discovery and piece-by-piece inclusion, and explaining how the Laffer curve inevitably came to be. Furthermore, it tests the accuracy of trickle-down economic policy in the time following its thrust into the spotlight, including both its praises and criticisms. This paper highlights the growth of modern tax policy both with and without the Laffer curve, as well as its various inclusions in tax policy around the globe. Finally, it examines modern effects stemming from the curve: attitudes towards its role in current events, political

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[1] Jude Wanniski, "Taxes, Revenues, and the Laffer Curve," *The Public Interest*, 1978, https://web.archive.org/web/20200221054448id_/https:/www.nationalaffairs.com/storage/app/uploads/public/58e/1a4/c54/58e1a4c549207669125935.pdf.
[2] Arthur Laffer, "The Laffer Curve: Past, Present, and Future," The Heritage Foundation, June 1, 2004, https://www.heritage.org/taxes/report/the-laffer-curve-past-present-and-future.

outlook on its relevance, and directions future research could branch into. This undoubtedly proves that the Laffer curve, in its many forms, has been an integral part of the advancement of political economy, and will continue to be in the future.

A Brief History of Taxation Theory:

The concept of taxation has deep roots in human history, as we have long paid for the right to grow crops in particular areas, travel certain causeways, and trade with specific peoples. This taxation has also taken various forms throughout these periods. In many ancient civilizations, the first instances of taxes took the forms of temple taxes paid to the overseeing religious institution. Otherwise known as tithes, it was a form of tax that took a percentage of an individual's income. This was taken by the societal ruler and paid to the religious leader—strategically the same person or organization. The Mesopotamians popularized tribute taxes, where conquered groups were forced to pay for their own conquering, something they would not have done had they been able to choose. The tax revenue was then used by the ruler to expand their religious influence, military might, and lead lives of luxury. The tax rates were often arbitrarily set, aimed at keeping the ruler the wealthiest member of a society without angering the general populace, henceforth making the beginnings of an optimal tax theory. David Kerr and others found that rulers who charged relatively high tax rates had proportionally shorter reigns compared to rulers of the same territory that did not.[3] The same trend was observed across dynasties and empires.

[3] David Kerr et al., "Historical Development of Taxation from Ancient Times to Modern Day: Implications for the Future," *Journal of Accounting and Finance* 25, no. 1 (2025): 53–76, https://articlegateway.com/index.php/JAF/article/view/7510/7099.

With the introduction of democratic ideals, taxes turned into more of a collective decision. Taxes on goods, labor, and property taxes became prevalent in Ancient Greek societies. These were carefully balanced to maximize state revenue while not discouraging economic activity. Import and export fees were also instituted, with the goal of isolating wealth within particular city-states.[4] The Romans created their tax system on liturgy, or taxation based on wealth. They introduced inheritance, deliverance, and luxury taxes, all aimed specifically at those who had more. This was popular, generating significant tax revenue that funded broad infrastructural projects across Europe. The Middle Ages stifled the development of tax policy, although similar trends to Mesopotamia regarding tax rates and length of rule were observed.[5] Gradual schisms between church and state forced wealthy religious institutions to begin contributing to state tax revenues.[6] Because they were so wealthy, they often gave the most in nominal tax revenue. Throughout this pre-economic theory history, tax policy was a trial-and-error process, with governments dictating a given tax rate without considering the broader economic influences and effects that it would have. Endeavors to understand the economic system however, would rapidly bring sweeping changes to the taxation landscape.

Emerging from the Middle Ages came the Mercantilists, their foundational beliefs regarding the economy, and taxation's place within this framework. Their emphasis on nationalism resulted in protectionist policies meant to promote internal production and exports. This resulted in high import taxes, or tariffs, placed on goods brought into the country, and tax breaks for domestic production, funded by the import tariffs. Rates were set high to discourage

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[4] Andrew Monson, "Taxation and Tribute," *Cambridge University Press EBooks*, August 4, 2022, 264–78, https://doi.org/10.1017/9781108265249.018.
[5] Mark Cartwright, "Trade in Medieval Europe," World History Encyclopedia (World History Foundation, January 8, 2019), https://www.worldhistory.org/article/1301/trade-in-medieval-europe/#references.
[6] Yoram Barzel and Edgar Kiser, "Taxation and Voting Rights in Medieval England and France," *Rationality and Society* 14, no. 4 (November 2002): 473–507, https://doi.org/10.1177/1043463102014004003.

imports, benefitting industries thought to be strategic in the hunt for bullion. Internal taxes were less frequent—low tax rates generated enough revenue to support the government, but not enough to strangle industry.[7] These ad-hoc policies had little concern with any theory of the time, and once again attempted to pinpoint revenue-maximizing tax rates without understanding the greater scope of the economy.

Contrary to the Mercantilists, the Physiocrats eliminated all forms of taxation except for a single tax on land rents. In their theory, land was the only source of net product, or the surplus generated by agriculture minus the cost of production, because agriculture was the only industry that created new wealth rather than transformed existing materials.[8] The incidence of taxation would eventually shift to landowners, so a direct tax was seen as more transparent. This tax rate was again a set percentage of the land rent, calculated based on the value of land, subject to how productive it was. The narrow tax base raised minimal revenue, which was in part used to subsidize land development, but also supported a small number of state functions. Abolishment of tariffs encouraged fair prices for goods, and lack of labor restrictions meant lower costs for producers. Yet, landowners were not in favor of bearing the full tax incidence; furthermore, higher tax rates gave perverse incentives to produce less, which made their land less valuable, lowered their tax rates, and thus shrunk the tax revenue—the first observation of the Laffer curve in reality. While Physiocracy never took hold, its criticisms of Mercantilism created a basis for further economic development.

In 1776, Adam Smith published *The Wealth of Nations*, creating the framework for classical economics. In addition to his criticism of Mercantilist tax policies, he puts forth "four

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[7] Helge Peukert, "Mercantilism," in *Handbook of the History of Economic Thought* (Springer New York, 2012), 93–122, https://ideas.repec.org/h/spr/euhchp/978-1-4419-8336-7_3.html.
[8] L.S. Anderson, "The Physiocrats and the Meaning of Their Single Tax," Land&Liberty (Henry George Foundation of Great Britain, March 25, 2021), https://landandliberty.net/the-physiocrats-and-the-meaning-of-their-single-tax/.

maxims" regarding goals for the design, implementation, and purpose of taxes in a laissez-faire political economy.[9] First, taxes should be proportional to an individual's ability to pay, similar to the liturgy policies in ancient times. This removes any incentive to change production and pay less in taxes. Next, the tax and its collection should be clear and predictable, allowing for visibility and trust in the system. The collection should also be convenient for the taxpayer, and not have negative connotations associated with the act of paying taxes. Finally, tax collection should be efficient, not hindering economic activity and costing more to collect than it is worth, as this will encourage people to not pay. These standards put efficient tax rates in a new light; no longer was a singular set rate enough, it had to satisfy a defined role within an established political economy. Tax revenue could only be maximized if the tax system fulfilled the above duties. And so came a period of rationalization by classical economists, attempting to theorize what type of system would do that.

David Ricardo believed taxation to be unavoidable: even if industries weren't directly taxed, the incidence would be pushed to all aspects of an economy. He posited that among others, a proportional tax on all profit would not allow businesses to raise prices, keeping the overall price level stable and not negatively impacting production.[10] Marginally increasing this rate could increase nominal tax revenue while minimizing effects on production—contrasting Laffer curve theory. Furthermore, Ricardo supported a reintroduction of taxes on land and wages. Each of these three types of taxes reflected the main income source of each class, and a system under which everyone contributes is seen as fair. John Stuart Mill agreed with this income tax,

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[9]Adam Smith, *An Inquiry into the Nature and Causes of the Wealth of Nations* (Glasgow, Scotland: The University of Glasgow, 1981).
[10] David Ricardo, *On the Principles of Political Economy and Taxation* (Buffalo, New York: Prometheus Books, 1996).

but suggested exemptions based on necessity, and the inclusion of inheritance and luxury taxes.[11] His driving theory was built on utilitarianism, and the maxims of convenience and efficiency were most important to collecting the maximum tax revenue; participation mattered most, and the tax rate itself after that. Positive attitudes towards the collection and use of tax revenue would not have an impact on production. Still, there was no definitive answer on how to find the optimal tax rate within these systems.

Edwin R. A. Seligman was one of the first to look at taxation theory from this angle. In 1893 he published his "Theory of Progressive Taxation," introducing a system of increasing proportional taxes. Built upon the diminishing marginal utility of wealth, progressive taxation charges higher earnings at higher taxes; income in increasing ranges is taxed at increasing amounts.[12] This makes up the basis of the bracketed income system used in the United States today. Essentially, individuals who earn more income pay a higher percentage of the overall tax revenue, not only through income tax but higher taxes on luxury goods, large properties, and other forms of wealth. This form of taxation should only impact business owners, but in reality parts of this incidence are passed to workers in the form of lower wages and higher prices, impacting incentives to participate in economic activity. It seeks to minimize the after-tax income disparity, but in doing so encroaches into the realm of equity rather than efficiency.

Soon thereafter in 1897, Francis Ysidro Edgeworth put forth "The Pure Theory of Taxation," building upon Seligman, and attempting to balance equity and efficiency from the utilitarian perspective of John Stuart Mill. He argues that every tax system also includes disutility that stems from paying the tax, and that a system should seek to minimize this disutility

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[11] John Stuart Mill, *Principles of Political Economy with Some of Their Applications to Social Philosophy* (Lanham, Maryland: Rowman & Littlefield, 2004).
[12] Edwin R. A. Seligman, "The Theory of Progressive Taxation," *Political Science Quarterly* 8, no. 2 (June 1893): 220, https://doi.org/10.2307/2139643.

by equating everyone's marginal disutility.[13] This comes from spreading tax burdens across society in the same progressive manner as Seligman. As income increases, the marginal utility of each additional wealth unit declines, and thus higher tax rates impose less relative sacrifice on the wealthy, justifying both equity and efficiency in the tax framework. But, in reality, this still has the residual effect of deterring consumers from buying goods and services, falling short of a comprehensive tax system.

A student of John Maynard Keynes proposed a solution in 1927. Frank Ramsey published "A Contribution to the Theory of Taxation," establishing what is now known as Optimal Taxation Theory. He sought to minimize deadweight loss resulting from a distortive commodity tax. He creates the "Ramsey Rule," balancing marginal deadweight loss across goods (i and j) by equating the ratio of their tax rates (r_i and r_j) to the inverse ratio of their price elasticities of demand (n_i and n_j).[14] In other words, taxing goods and services with less price change-responsive demand reduces the distortion caused by that tax. Related back to a tax system, this means that an optimal tax rate will reduce compensated demand for all goods and services by the same proportion. Across all taxes, this proportion rises with the required government revenue, satisfying the efficiency criterion. This proves that a maximum tax rate can be calculated with minimum impact on economic participation incentives. However, taxing necessities disproportionately burdens low-income households, violating the equity concerns previously mentioned.

Just prior to the etching of the Laffer curve in 1971, James Mirlees seems to have solved the equity-efficiency trade-off. In "An Exploration in the Theory of Optimum Income Taxation,"

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[13] F. Y. Edgeworth, "The Pure Theory of Taxation," *The Economic Journal* 7, no. 28 (December 1897): 550, https://doi.org/10.2307/2956603.
[14] F. P. Ramsey, "A Contribution to the Theory of Taxation," *The Economic Journal* 37, no. 145 (1927): 47–61, https://doi.org/10.2307/2222721.

he utilized the informational asymmetry between the government's view of income but not earning potential due to incentives to work less and use more leisure time. Here, he found that the optimal marginal tax rate is always non-negative, but should be zero for both the highest and lowest earners to incentivize work, redistribute benefits of success, and give the disproportionately poor tax cuts, all without negatively impacting economic activity.[15] This work was a breakthrough in Optimal Taxation Theory. It demonstrated how a government could implement tax policy that would generate more revenue without hindering economic progress—the final step in the development of the Laffer curve. Now, it just needed to be put together as one cohesive idea.

Laffer did just this. Unknowingly, he was the first economist to formally posit collective tax theory as this one simple idea. His belief that the economy was already past the optimal taxation rate was taken by Cheney and Rumsfeld and incorporated into Ford's tax policies, and instead of raising tax rates, he signed into law the Tax Reduction Act of 1975.[16] The American economy slowly began to recover, but by 1976 discontent with his governance had grown significantly, and Ford would lose the presidential election to Democrat Jimmy Carter. Though Carter simplified the tax system, tax cuts became a cornerstone of the Republican party in the coming years, particularly during the Reagan administration.

Inclusion in Tax Policy and Implications:

The thrusting of Laffer's tax theory simplification into the macroeconomic spotlight drew mixed reactions from his peers. Academics and theorists praised this simplicity—no longer was

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[15] J.A Mirrlees, "An Exploration in the Theory of Optimum Income Taxation," *The Review of Economic Studies* 38, no. 2 (1971): 175–208, https://doi.org/10.2307/2296779.
[16] Ullman, "Tax Reduction Act of 1975," Pub. L. No. 94-120 (1975), https://www.finance.senate.gov/imo/media/doc/94-120.pdf.

tax policy too difficult for the everyday consumer to understand. Joel Slemrod was quick to bring the Laffer curve into Optimal Taxation Theory; in 1990, he published his thoughts on an optimal tax system, in which he believed the Laffer curve dictates tax rates into a narrow range, inside which the optimal rate and maximum revenue exists.[17] On the other hand, realists like Philip Mirowski opposed these simplifications, believing them to be broad generalizations that largely did not apply in reality. He critiqued the inconsideration of time lags between the setting of tax rates and the collection and utilization of tax revenue, as well as the assumption of heterogenous taxpayer behavior.[18] The focus of his commentary was that Laffer largely ignored other types of taxes and that his curve was only applicable in one instance. Yet, therein lies the beauty of the Laffer curve's theory. Richard Hemming and John Anderson Kay used the same barebone approach on specific aspects of tax theory, stripping down individual microeconomic interactions to further theorize the implications of various tax policies within the Laffer curve framework.[19] These interactions included roles for both producers and consumers, and further proved the ideals of Optimal Taxation Theory. With reference to the time lag issue, only time would be able to speak to its effectiveness.

Ronald Reagan's 1980 presidential campaign ran on the back of the Laffer curve of the Ford and Carter administrations. Marginally lower tax rates during these terms yielded wide tax revenues, none of which offset the large expenditures undertaken by the government during the recessions of the 1970s. Reagan had faith in Laffer curve motivated tax cuts, deemed supply-side economics, specifically regarding wealthy business owners. He believed that tax cuts at the top

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[17] Joel Slemrod, "Optimal Taxation and Optimal Tax Systems," *The Journal of Economic Perspectives* 4, no. 1 (1990): 157–78, https://doi.org/10.2307/1942838.
[18] Philip Mirowski, "What's Wrong with the Laffer Curve?," *Journal of Economic Issues* 16, no. 3 (1982): 815–28, https://doi.org/10.2307/4225217.
[19] R Hemming and Kay J A, "The Laffer Curve," *Fiscal Studies* 1, no. 2 (1980): 83–90, https://doi.org/10.2307/24434417.

of the economy would return income to business owners, who would invest it in their business, spurring economic activity. This would generate more profits for business owners, who would raise employee's wages, and with more disposable income employees would buy more, creating even more economic activity. This trickle-down effect was meant to coincide with spending cuts, with the goal of a budget surplus reducing the national debt. Wealthy supporters raved about this, and the ideas had popularity with the middle and lower classes as well, as Reagan won the 1980 election by a landslide margin. These interpretations of the Laffer curve weren't just present in the United States; in the parliamentary democracy of Sweden economists theorized moderate tax reductions could maximize revenue as a result of reducing amounts of unreported economic activity due to previously too-tall rates.[20] Western economies across Europe, just recently rebuilt by the Marshall Plan, joined in on the tax-cut trend. Supply-side theorists had taken hold of the economy and were not relinquishing it until they were otherwise proven incorrect.

While it soon became obvious that the trickle-down effects promised by supply-side economics would never reach the lower classes, overarching analysis of the effectiveness of Laffer curve-inspired policies took longer to synthesize. Though largely overshadowed by the fact that the common taxpayer saw virtually no benefit from the increasing profits of corporations, some believed that supply-side economics could still be called a success. This was in part due to the previously discussed higher tax revenues despite lower tax rates. So, after Reagan and Bush's collective three terms and trickle-down policies being cast aside, studies were called for to test the efficiency of their short reign.

In 1996, Yu Hsing examined tax revenue trends prior to, during, and after the implantation of Laffer curve policies. He found that when implemented in the narrowing method

[20] Edgar L. Feige and Robert T. McGee, "Sweden's Laffer Curve: Taxation and the Unobserved Economy," *The Scandinavian Journal of Economics* 85, no. 4 (1983): 499, https://doi.org/10.2307/3439948.

suggested by Slemrod, tax rates between 32.67% and 35.21% were the most optimal.[21] Anything above this range would provide disincentive to production, and anything below would lose out on potential revenue. The existing tax rate prior to the first tax cuts following the Laffer curve's creation was much higher, which gives support to the effectiveness of the cuts. Hsing also found that the rate-revenue relationship was in the shape of a parabolic bell curve, further confirming what Laffer had theorized. This is corroborated by an investigation by Hans Monissen, where views the Laffer curve through lens of aggregate production functions, making parallels that the curves have diminishing returns at high rates.[22]

Basil Dalamagas put forth his own analysis of tax curves in 1998, drawing data from 13 Organization for Economic Cooperation and Development (OECD) member nations in the same periods of before, during, and after tax cuts. While he observed much of the same short-run increase effects as Hsing, he found that only economies with taxes higher than the optimal rate prior to tax cuts experienced higher tax revenue as a result of increased economic activity.[23] Significant portions of these economies had previously existed underground, but with lower tax rates, these sectors had less incentive to evade taxes. Moreover, Dalamagas found that in the economies that did not experience post-tax cut growth, the government did not cut spending, and so long-run tax hikes were needed to offset budget deficits and an increasing national debt. In an analysis for the International Monetary Fund (IMF), Aasim Husain reiterated that the type of domestic tax system that a nation used influenced its initial external debt position.[24] This external

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[21] Yu Hsing, "Estimating the Laffer Curve and Policy Implications," *Journal of Socio-Economics* 25, no. 3 (1996), https://research.ebsco.com/c/bq4orh/viewer/html/vuhl7kl6kf?auth-callid=f4c4ffed-f1c0-4fb4-90da-ac8d3f466cce.
[22] Hans G Monissen, "Explorations of the Laffer Curve," *EconStor* (Würzburg, Germany: University of Würzburg, Department of Economics, Würzburg, 1999), https://www.econstor.eu/bitstream/10419/48455/1/30978008X.pdf.
[23] Dalamagas, "Testing the Validity of the Laffer-Curve Hypothesis," *Annales d'Économie et de Statistique*, no. 52 (1998): 77, https://doi.org/10.2307/20076152.
[24] Aasim M Husain, "Domestic Taxes and the External Debt Laffer Curve," *Economica* 64 (1997): 519–25, https://research.ebsco.com/c/bq4orh/viewer/pdf/4xcemecfrr.

debt itself was on a Laffer curve—the higher the debt stock, the less likely any repayment was to be made. Two nations with Optimal Taxation Theory systems that followed supply-side tax cuts would have vastly different long-run effects if one had a large outstanding debt prior to the tax cuts and one did not. A negative feedback loop was also discovered; higher debts would raise expectations of future tax hikes, and reduce future output, shrinking the tax base and making debt repayments more difficult. Tax cuts that effectively brought more production with simultaneous cuts in spending could work together to eliminate the debt.

Despite short run success in the first experiments of supply-side economics, the long run effectiveness of tax cuts had mixed effects. Some believed the Laffer curve should be deemed a failure, but the prominence of the idea refused to let it die. Conservative governments around the globe had built platforms on tax cuts, and in recent years economists worked to expand Optimal Taxation Theory both within the Laffer curve framework and separate from it. As of 2004, Laffer himself was urging nations to continue with supply-side tax cut policies. He cited the success of individual states lowering taxes after the reversal of Republican tax cuts. This incentivized greater economic activity compared to those states that didn't participate.[25] However, Laffer acknowledged that this took place in the post-recession economy of the late twentieth century, amid broad economic growth that happened in all states regardless of their tax policies. Nevertheless, the development of Optimal Taxation Theory went on.

Modern Developments of the Laffer Curve:

[25] Arthur Laffer, "The Laffer Curve: Past, Present, and Future," The Heritage Foundation, June 1, 2004, https://www.heritage.org/taxes/report/the-laffer-curve-past-present-and-future.

By 2009, N. Gregory Mankiw, et al., had taken into consideration the relative successes and failures of the realistic applications of the Laffer curve. They argued that while the general principle was widely integrable into many OECD economies, the nuanced initial positions and dispositions of the individual nation's economies made it impossible to apply laterally.[26] This was due in fact to the specialized industries of each nation influencing elasticities of goods, and international trade rendering the Ramsey Rule inaccurate. They suggested that future theory should incorporate variation based on the primary industries of the nation, although admitted that this would further complicate a tax system and might unfairly benefit industries that were already successful and neglect others. In 2012, Robin Boadway postulated that attitudes towards the taxation system had more impact on the revenue generated than the tax rates themselves. If individuals believed a tax rate to be fair, they participated in a heightened amount of economic activity and contributed willingly versus if they thought the tax system was unfair.[27] These attitudes were shaped by individual's experiences, emphasizing that tax policies do not exist in a vacuum. If the government raises tax rates after cutting them, it might inspire negative attitudes despite the fact that the new rate is lower than the initial one. Or, if consumers see wealthy business owners receiving tax cuts while they do not, they might feel poorly towards that system, even if the benefits do trickle down to them.

Still, some economists believe there is currently a place for the Laffer curve in modern Optimal Taxation Theory. A 2018 study by Eugenio Miravete, et al., found that tax cut policies aided in understanding market structure and the power of oligopolies. In an industry with similar-sized companies, firms with significant market power lowered wholesale prices to mitigate

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[26] N Gregory Mankiw, Matthew Weinzierl, and Danny Yagan, "Optimal Taxation in Theory and Practice," *The Journal of Economic Perspectives* 23, no. 4 (2009): 147–74, https://doi.org/10.2307/27740559.
[27] Robin Boadway, *From Optimal Tax Theory to Tax Policy* (MIT Press, 2012), https://www.jstor.org/stable/j.ctt5vjpkx.

demand loss in response to tax hikes. Firms with limited market influence either maintained or increased prices.[28] Regarding tax cuts however, both types of firms tended to raise prices, with the higher-influence company doing so by less of a margin. Hence, two firms with the same elasticity of demand had two different pricing reactions to tax policy. Tchai Tavor, et al., challenges Hsing's belief in a single revenue-maximizing tax rate using Boadway and Miravete's realistic perspectives. They believe that each of society's distinct classes has its own revenue maximizing rate pertaining to its overarching economic motivations. This can either be interpreted as several prevailing tax rates depending on rigid socioeconomic classifications, or a difficult choice between these rates, which would reveal where a government's priorities or loyalties lay.[29] The authors again stress that the Laffer curve, while groundbreaking, is too simple.

Some economists argue that the Laffer curve should not have a future in Optimal Taxation Theory, that short-term tax cuts were a belief of the past and that line of thinking should not continue in the future. Louis Kaplow specifically highlighted its contextual limitation, instead substituting that different types of taxes should have different purposes and associated rates. For example, income taxes should intend to handle the redistribution of wealth and commodity taxes should aim to maximize revenue.[30] All taxes should also be aimed at reducing negative externalities, and the system be Pareto optimal, or that no individual could be better off without making someone else worse off. This would make individual's attitudes towards the system inherently positive, fostering more economic activity and inter-class cooperation.

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[28] Eugenio J Miravete, Katja Seim, and Jeff Thurk, "MARKET POWER and the LAFFER CURVE," *Econometrica* 86, no. 5 (2018): 1651–87, https://doi.org/10.2307/44955255.
[29] Tchai Tavor, Limor Dina Gonen, and Uriel Spiegel, "Reservations on the Classical Laffer Curve," *The Review of Austrian Economics* 34 (December 18, 2019), https://doi.org/10.1007/s11138-019-00483-8.
[30] Louis Kaplow, "An Optimal Tax System," *Fiscal Studies* 32, no. 3 (2011): 415–35, https://doi.org/10.2307/24440232.

Contradicting this, Bas Jacobs believes the tax system needs to be administratively feasible. Multiple taxes with various tax rates are extremely complicated; it violates the clear and predictable maxim of Adam Smith's capitalist framework.[31] Moreover, administration, enforcement, and collection require significant resources, violating both the convenient and efficient requirements. He reiterates the belief that simplicity breeds widespread understanding and participation. The Laffer curve perfectly occupies this role.

Governments have already begun incorporating revamped Laffer curve principles into their tax policies in recent years, granted not on the original basis of sweeping tax cuts. Several European countries have started testing the feasibility of Tavor's multiple optimal tax rates, attempting to balance equity versus efficiency. Jan Hajek, et al., found that distinct rates can give the same revenue, but maximize participation from particular groups; for instance, a 40% tax rate balances revenue and equity, maximizing yield from younger generations, while 60% does the same for established older generations, though it increases evasion and reduction in economic activity.[32] They highlight that simple, broad-based tax systems with these moderate rates minimize distortions. The Slovak government is already working to implement these suggestions within their tax policies. Carlos Alba and Stephen McKnight worked on shrinking underground economies in five Latin American countries by lowering tax rates in these sectors. Their research found that the high informality of these industries increased the tax elasticity, increasing distortion through lower reported transactions and tax participation.[33] Blanket tax cuts in these sectors are also ineffective—informal industries have high inelasticity of demand, so price

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[31] Bas Jacobs, "From Optimal Tax Theory to Applied Tax Policy," *FinanzArchiv / Public Finance Analysis* 69, no. 3 (2013): 338–89, https://doi.org/10.2307/43297182.
[32] Jan Hájek et al., "The Laffer Curve Decomposed," *Ekonomický Časopis (Journal of Economics)* 69, no. 3 (March 25, 2021): 306–26, https://doi.org/10.31577/ekoncas.2021.03.05.
[33] Carlos Alba and Stephen McKnight, "Laffer Curves in Emerging Market Economies: The Role of Informality," *Journal of Macroeconomics* 72 (June 2022), https://doi.org/10.1016/j.jmacro.2022.103411.

reductions do not stimulate more activity. Because of this, Alba and McKnight are also in support of broad-based moderate tax rates, combined with targeted compliance policies which aim to increase reported transactions. Still other economists are exploring ways of reversing the Laffer curve relationship: setting tax rates retroactively as a result of past economic activity trends rather than based on predictions of maximizing revenue. As of the present day, the Laffer curve is alive and well in Optimal Taxation Theory, its roots firmly set in history with possibilities of branching in many directions.

Conclusion:

Taxation is an unavoidable part of political economy. Throughout history, it has taken many forms to serve varied purposes. The establishment of formal economic theory brought about a quick evolution of ideas regarding taxation. Specifically, Optimal Taxation Theory emerged as the preferred system. While several economists contributed to its development and use in contemporary tax policy, one of the most influential was Arthur Laffer. The synthesis of his tax revenue maximization curve was an inevitable accomplishment, as Optimal Taxation Theory had circled around the idea for quite some time. His identification of the Laffer curve spurred widespread supply-side economics policies headlined by sweeping tax cuts. While these proved successful in the short-run, critics challenged the place of the curve within the broader tax framework. Defenders of the Laffer curve used further development of Optimal Taxation Theory to justify it, using empirical evidence to prove it was a necessary discovery. Several modern-day governments have implemented a second round of Laffer curve-influenced tax policies, aimed at generating higher tax revenue but with more nuanced approaches. This has further solidified the role of the Laffer curve in optimal tax policy. Future uses of the Laffer curve could venture into

specifics like environmental externalities, or digital transactions and international consumption of intangible goods. It could also look macroscopically and attempt to make changes to political and economic institutions. Although the identification of the Laffer curve was unavoidable, nobody could have imagined that a graph drawn on a restaurant napkin would have such a lasting impact on Optimal Taxation Theory.

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